

Marketing, Brand Management and Consumer Sciences

A note to students: This assessment is not testing whether you can define marketing terminology or recall textbook frameworks. It is designed to understand how you think about customers, brands, and the reasons people choose one product over another. Students who are genuinely well suited for Marketing at university level tend to be curious about why certain campaigns capture attention while others are ignored, why people pay more for brands they trust, and how businesses figure out what customers actually want. Read each scenario carefully, think it through, and choose the answer that makes the most marketing sense to you.

Section 1: Consumer Behaviour and Customer Thinking

Q1. A student is choosing between two identical-looking water bottles. One is unbranded and costs Rs. 150. The other carries a well-known outdoor sports brand and costs Rs. 650. She chooses the expensive one even though she acknowledges they are functionally similar. What does this most usefully illustrate about consumer behaviour?

A) Consumers always make purchasing decisions based primarily on quality differences B) Purchasing decisions are often driven by identity, aspiration, and the meaning a brand carries, not just functional value C) The student made an irrational decision and would not repeat it D) Price differences only matter to consumers when the products are also functionally different

Q2. A food delivery app sends a notification saying "Only 2 orders left at this price tonight" to a user who had been hesitating about ordering. The user immediately places an order. Which aspect of consumer psychology does this technique most directly exploit?

A) The user's preference for discounted products over full-price ones B) The tendency for people to want something more urgently when they believe it may soon become unavailable C) The user's loyalty to the food delivery platform built over many months of use D) The user's rational calculation that the price genuinely represents good value

Q3. A consumer electronics company surveys its customers after purchase and finds that buyers consistently report feeling more positive about their purchase decision several weeks after buying than they did immediately after. What is the most likely psychological explanation for this pattern?

A) The product's quality genuinely improves with use over the first few weeks B) Customers naturally forget the negatives of a purchase over time and only remember the positives C) People tend to convince themselves that decisions they have already committed to were the right ones, in order to reduce the discomfort of doubt D) Post-purchase satisfaction surveys always produce inflated results because customers want to appear consistent

Q4. A supermarket places everyday essentials like bread, milk, and eggs at the far end of the store, requiring customers to walk through multiple aisles to reach them. Sales of products placed along these routes increase significantly. What does this most directly reveal about consumer behaviour in retail environments?

A) Consumers are more likely to buy products they encounter unexpectedly during a shopping trip than they planned to buy before entering the store B) Essential products should always be placed near the exit to encourage repeat visits C) Consumers prefer stores where the layout is complicated because it makes shopping feel more rewarding D) The increase in sales along the route is caused by lower prices on those products

Q5. Two students are discussing why some people pay significantly more for a business class flight ticket even when they are travelling for personal reasons rather than business. One says it is simply about comfort. The other says it is about more than that. Which explanation is more complete from a marketing perspective?

A) The first student, because physical comfort is the only meaningful difference between flight classes B) The second student, because the purchase also reflects status, self-image, and the experience of being treated differently, which carry psychological value beyond the physical product C) The first student, because price differences in travel are always justified purely by tangible service differences D) Neither student, because premium pricing in airlines is driven entirely by operating costs rather than consumer psychology

Section 2: Branding and Positioning

Q6. A small local bakery has been operating for twelve years and has a loyal customer base. A large national bakery chain opens nearby, offering similar products at lower prices. Despite the price difference, many of the local bakery's regular customers continue to visit. What is the most likely marketing explanation for this loyalty?

A) Customers are unaware that the new chain offers lower prices B) The local bakery has built emotional associations, familiarity, and trust over years that the new entrant cannot replicate through price alone C) Customers always prefer smaller businesses on principle regardless of product or price D) The national chain's products must be of lower quality despite their wider availability

Q7. A luxury watch brand and a budget watch brand both sell watches that tell time with equal accuracy. The luxury brand charges fifty times more. Customers of both brands are generally satisfied with their purchases. What does this most usefully illustrate about how brands create value?

A) The luxury brand is engaging in unethical pricing that misleads customers B) Brand value is created not just by functional performance but by the meaning, craftsmanship narrative, status, and identity that customers associate with owning the product C) Customers who buy the budget brand are making the objectively superior financial decision in all circumstances D) Pricing differences of this magnitude can only be sustained through aggressive advertising campaigns

Q8. A well-established shampoo brand launches a new variant specifically designed for colour-treated hair, sold at a higher price point in a more elegant bottle. The core formula is similar to their existing product. Sales among that segment are strong. What marketing principle does this strategy most directly reflect?

A) Customers cannot tell the difference between similar products and are easily misled B) Presenting a product in a way that speaks directly to a specific group's self-perception and particular needs can make it significantly more compelling even when the underlying product is comparable C) Higher prices always indicate higher quality and customers respond to price as the primary signal D) Packaging improvements alone are sufficient to justify any price increase in the personal care market

Q9. A technology company known primarily for computers launches a range of running shoes. Despite strong marketing investment, the product struggles to gain traction in the market. What is the most likely marketing explanation for this difficulty?

A) Consumers are reluctant to buy any new product from any company regardless of the brand B) Running shoe consumers have no interest in technology brands C) The brand's associations and credibility in the minds of consumers did not extend naturally to athletic footwear, making it harder to earn trust in a new category D) The marketing budget was insufficient to overcome the product's quality limitations

Q10. Two airlines offer near-identical routes, prices, and punctuality records. One consistently receives higher customer satisfaction scores and generates significantly more repeat bookings. When surveyed, customers cite how staff made them feel during interactions. What does this most directly illustrate about competitive advantage in service businesses?

A) Customer satisfaction surveys are unreliable measures of genuine business performance B) In markets where tangible differences are small, the quality of human interaction and emotional experience becomes a primary source of competitive differentiation C) Staff training costs are too high for most airlines to consider as a serious competitive strategy D) Price must be the deciding factor in airline choice and the survey results reflect a measurement error

Section 3: Marketing Strategy and Business Growth

Q11. A company selling premium skincare products is considering two growth strategies. Strategy A involves reducing prices significantly to attract a larger customer base. Strategy B involves launching a loyalty programme offering exclusive benefits to existing customers. What is the most important risk of Strategy A that the company should consider?

A) Lower prices will automatically reduce product quality B) Reducing prices in a premium segment can undermine the brand's positioning and signal to existing customers that the exclusivity they were paying for no longer exists C) Loyalty programmes always outperform price reductions regardless of the industry D) Strategy A carries no meaningful risk because more customers always leads to better business outcomes

Q12. A children's education app is trying to decide how to market itself. It recognises that children use the product but parents make the purchasing decision. What is the most strategically sound approach to its marketing communication?

A) Focus all communication entirely on children because they are the end users of the product B) Focus all communication entirely on parents because they control the spending C) Recognise that the user and the buyer are different people with different motivations, and develop communication that addresses parental concerns about value and learning outcomes while also making the product appealing to children D) Treat children and parents as identical audiences because families make all decisions collectively

Q13. A new restaurant opens in a busy neighbourhood and spends heavily on advertising. Despite strong awareness, tables remain half-empty most nights. A marketing consultant advises that more advertising is not the solution. What is the most likely reason for the consultant's position?

A) Advertising never works for restaurants because customers rely exclusively on word of mouth B) If customers are aware of the restaurant but not visiting, the problem likely lies in the offer itself, such as the menu, pricing, or experience, rather than in communication, and more advertising will simply amplify that gap C) The restaurant should reduce its prices immediately as the only path to filling tables D) The consultant is incorrect and increasing advertising frequency is always the correct response to low footfall

Q14. A fashion brand targeted at young adults runs an advertisement featuring a prominent celebrity. Sales increase strongly in the first month but return to previous levels within eight weeks. A marketing analyst describes this as a short-term spike rather than genuine brand growth. What is the most important distinction the analyst is drawing?

A) Celebrity endorsements are never effective marketing tools for fashion brands B) An immediate sales response driven by a single campaign does not indicate that customers have developed a lasting preference or connection with the brand, which is what drives sustainable

growth C) The analyst is incorrect because any increase in sales should be considered successful marketing D) Sales returning to previous levels proves that the celebrity was the wrong choice for the brand

Q15. A startup food brand is deciding between two launch strategies. Option A is to distribute the product in as many stores as possible from day one. Option B is to launch exclusively in a small number of premium stores in one city, build strong word of mouth, and expand gradually. What is the strongest marketing argument in favour of Option B?

A) Wider distribution always reduces brand quality and should be avoided by all new brands B) Controlling the initial environment allows the brand to build a strong identity and gather genuine customer feedback before scaling, reducing the risk of expanding a proposition that has not yet been validated C) Premium stores always generate higher revenue per unit and are therefore always the financially superior choice D) Option A carries no meaningful advantages and should never be considered by a new brand

Section 4: Marketing Analysis and Commercial Reasoning

Q16. A soft drink brand runs an advertising campaign that is widely praised for its creativity and wins several industry awards. Three months later, the brand reports no meaningful increase in sales. What is the most important lesson this situation illustrates about marketing effectiveness?

A) Award-winning creative work always translates into strong sales performance B) Creative quality and commercial effectiveness are not the same thing: an advertisement can generate admiration without motivating the audience to change their purchasing behaviour C) Sales data is an unreliable measure of advertising performance and should be replaced by awareness metrics D) The campaign failed because soft drink consumers are not influenced by advertising

Q17. A clothing retailer notices that customers who visit its physical stores spend significantly more per transaction than customers who shop on its website. However, website traffic is ten times higher than store footfall. What is the most commercially useful interpretation of this data?

A) The physical store is more profitable and the website should be closed down B) Each channel serves different customer needs and the business should understand what drives higher spending in-store before deciding how to allocate investment between the two C) Higher website traffic automatically means the website is the more valuable sales channel D) The spending difference proves that online customers are less loyal and should be targeted with discount offers

Q18. A consumer goods company launches the same product in two cities simultaneously, pricing it at Rs. 99 in City A and Rs. 149 in City B with no difference in the product itself. After three months, the product is perceived as higher quality by consumers in City B despite identical ingredients and packaging. What does this reveal about pricing as a marketing signal?

A) Consumers in City B are less informed and therefore easier to mislead B) Price itself communicates information about quality in the minds of consumers, and a higher price can create a more favourable perception of the product independent of its actual attributes C) The result is coincidental and price has no psychological effect on quality perception D) This pricing strategy is unethical and should be avoided by responsible businesses

Q19. A mobile phone brand conducts research and finds that its customers recommend the brand to friends and family at a significantly higher rate than its nearest competitor, despite the competitor having a larger advertising budget and greater market share. What is the most strategically important insight from this finding?

A) The competitor's larger advertising budget is being wasted and should be redirected B) Customer recommendation is a powerful commercial asset: genuine advocacy from satisfied customers tends to be more credible and cost-effective than paid advertising, and the brand should understand and protect what is driving it C) Market share is the only reliable indicator of brand strength and the research finding should be disregarded D) The brand should immediately increase its own advertising budget to match the competitor

Q20. A brand that has been marketing exclusively to consumers over the age of forty wants to attract younger customers. It redesigns its packaging, updates its social media presence, and uses younger brand ambassadors. After six months, younger customers are aware of the brand but still do not buy it. What is the most likely explanation for this gap between awareness and purchase?

A) Younger consumers do not respond to social media marketing and the channels were the wrong choice B) The brand successfully updated its communication but may not have addressed whether the product itself, its pricing, or its cultural relevance actually fits what younger consumers want, and awareness without relevance does not produce purchase C) Six months is too short a period to evaluate any brand repositioning effort D) Younger consumers are inherently more resistant to brand switching than older consumers

Answer Key and Explanations

Question	Correct Answer
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Q1	B
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Q2	B
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Q3	C
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Q4	A
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Q5	B
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Q6	B
Q7	B
Q8	B
Q9	C
Q10	B
Q11	B
Q12	C
Q13	B
Q14	B
Q15	B
Q16	B
Q17	B
Q18	B
Q19	B
Q20	B

Q1. Answer: B Consumers frequently purchase products for what they represent rather than what they do. Brands create psychological and social value through associations with identity, aspiration, and belonging, which is why premium pricing is sustainable even when functional differences are minimal.

Q2. Answer: B Scarcity and urgency are powerful triggers in consumer psychology. When people believe an opportunity is limited or about to disappear, they assign it greater value and are more likely to act immediately rather than continuing to deliberate.

Q3. Answer: C This reflects a well-documented psychological phenomenon where people rationalise past decisions to maintain a consistent self-image. Rather than living with the discomfort of doubt, consumers actively seek out reasons their choice was correct, which is why post-purchase satisfaction often rises over time.

Q4. Answer: A Unplanned purchases are a significant driver of retail revenue. By routing customers past a wide range of products on the way to the items they came for, retailers increase

the chances of impulse decisions that customers had not intended to make when they entered the store.

Q5. Answer: B Premium travel purchases are rarely about comfort alone. They also carry signals about professional status, personal success, and how the traveller sees themselves, meaning the purchase satisfies psychological and social needs alongside physical ones.

Q6. Answer: B Established local businesses often hold an advantage that price cannot easily overcome: emotional familiarity, personal connection, and years of accumulated trust. These are brand assets that take time to build and cannot be instantly replicated by a new entrant regardless of its scale or resources.

Q7. Answer: B Brands create value beyond functional performance by building narratives around craft, heritage, exclusivity, and identity. Customers buying the luxury watch are purchasing a set of meanings and associations, not simply a timekeeping device, and that intangible value is what the price reflects.

Q8. Answer: B Targeted positioning works because it speaks to a specific customer's particular situation and self-perception. Even when the underlying product is similar, framing it as designed for someone like the customer creates relevance and permission to charge a higher price for the sense of specificity it provides.

Q9. Answer: C Brand credibility is category-specific. A strong reputation in one domain does not automatically transfer to another because consumers hold distinct mental associations for different product categories. Entering a new category without a credible connection to the brand's existing expertise creates a trust gap that is difficult to bridge.

Q10. Answer: B In service industries where core offerings are comparable, emotional experience becomes the primary differentiator. How a customer feels during an interaction shapes their overall perception of the brand and their likelihood of returning, making human interaction a genuine strategic asset.

Q11. Answer: B Premium brands are built on the perception of exclusivity and worth. Reducing price to grow volume can signal to existing customers that their investment in the brand was not justified and to potential customers that the premium positioning was artificial, permanently damaging the brand's ability to command a higher price.

Q12. Answer: C Many purchasing decisions involve a user and a buyer who are different people with different priorities. Effective marketing must address both: the buyer needs to be persuaded on value, safety, and outcomes, while the end user needs to find the product genuinely appealing and engaging.

Q13. Answer: B If awareness is high but conversion is low, the communication is working but the offer is not compelling enough. Increasing advertising under these circumstances simply tells more people about something that is already failing to motivate those who already know about it.

Q14. Answer: B A sales spike driven by a single campaign represents borrowed attention rather than earned preference. Genuine brand growth occurs when customers develop a lasting positive association with the brand that influences their behaviour beyond the period of any single stimulus.

Q15. Answer: B Controlled launches allow a brand to test its proposition, refine its offer, and build authentic advocacy before committing to the costs and risks of wide distribution. Scaling a product before it has proven itself in a real market is one of the most common and costly mistakes in new product development.

Q16. Answer: B The purpose of marketing communication is ultimately to change behaviour, not to generate admiration. Creative work that entertains or impresses without giving audiences a compelling reason to act differently has succeeded as entertainment but failed as marketing.

Q17. Answer: B Aggregate data rarely tells the whole story. The higher in-store spend and the higher online traffic likely reflect different customer segments with different needs and shopping motivations. Understanding each channel's distinct role and customer profile is more commercially useful than simply comparing headline numbers.

Q18. Answer: B Price functions as a quality signal in consumer perception. When customers have limited information about a product's actual quality, they use price as a proxy, often concluding that a higher-priced item must be superior. This psychological effect means pricing decisions carry implications far beyond revenue calculations.

Q19. Answer: B Word of mouth from genuinely satisfied customers is among the most powerful and cost-efficient marketing forces available to a brand. It carries credibility that paid advertising cannot replicate because it comes from a source the recipient already trusts, making it essential to understand and deliberately nurture.

Q20. Answer: B Awareness is a necessary but insufficient condition for purchase. If younger consumers are aware of the brand but still not buying, the barrier is not communication: it is that the product, price, or cultural fit does not yet match what that audience actually wants, and no amount of updated packaging will bridge that gap alone.